THE NATIONAL COMPANY LAW TRIBUNAL

BENCH V

AT NEW DELHI

CA (CAA)-82/230/232/ND/2021

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF:

SCHEME OF AMALGAMATION

OF

JET HOTELS PRIVATE LIMITED

...(Transferor Company 1/ Applicant No 1)

AND

JETAIR BUSINESS SOLUTIONS PRIVATE LIMITED

...(Transferor Company 2/ Applicant No 2)

AND

JETMOBILITY PRIVATE LIMITED

...(Transferor Company 3/ Applicant No 3)

WITH

JETAIR PRIVATE LIMITED

...(Transferee Company / Applicant No 4)

Order Reserved On: 09.12.2021

Order pronounced on: 17.01.2022

CORAM:

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER(J)

SH. AVINASH K. SRIVASTAVA, HON'BLE MEMBER (T)

PRESENT

For the Applicant : Adv. Ajit Singh Tawar

For the Respondent : Ms. Hemlata Rawat, for OL

MEMO Of PARTIES

In the Matter of Companies Act, 2013

Section 230 to 232

In the Matter of:

JET HOTELS PRIVATE LIMITED

Company incorporated under the Companies

Act, 1956

Having Registered Office at:

Jetair House, 13 Community Centre,

Yusuf Sarai, New Delhi-110049

CIN: **U55200DL1981PTC347097**

(Transferor Company 1/ Applicant No 1)

AND

JETAIR BUSINESS SOLUTIONS PRIVATE LIMITED

Company incorporated under the Companies

Act, 1956

Having Registered Office at:

Jetair House, 13 Community Centre,

Yusuf Sarai, New Delhi-110049

CIN: **U74140DL2004PTC349744**

(Transferor Company 2/ Applicant No 2)

AND

JETMOBILITY PRIVATE LIMITED

Company incorporated under the Companies

Act, 1956

Jetair House, 13 Community Centre,

Yusuf Sarai, New Delhi-110049

New Delhi-110025

CIN: **U763030DL2018PTC380930**

(Transferor Company 3 / Applicant No 3)

AND

JETAIR PRIVATE LIMITED

Company incorporated under the Companies

Act, 1956

Having Registered Office at:

Jetair House, 13 Community Centre,

Yusuf Sarai, New Delhi-110049

CIN: **U74899DL1974PTC007361**

(Transferee Company/ Applicant No 4)

ORDER

PER SH. AVINASH K. SRIVASTAVA, MEMBER (TECHNICAL)

1. This application has been jointly filed by the Applicant Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, duly supported by separate affidavits of the Applicant Companies, for seeking appropriate directions for dispensing with the holding/convening of the meetings of the respective shareholders and creditors of all the Applicant companies for approval of the proposed Scheme of Amalgamation as contemplated between the Applicant companies. The said Scheme of Amalgamation (hereinafter referred to as the "Scheme") has been placed on record along with the joint application.

2. It is represented that the registered office of all the applicant companies is situated in New Delhi and therefore the subject matter of this joint application falls within the Jurisdiction of this Bench.

3. Transferor Company 1 was incorporated under the Companies Act, 1956 on 29.09.1981 in the name and style of **"JET HOTELS PRIVATE LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the CIN. **U55200DL1981PTC347097.** Its authorized share capital is Rs. 10,00,000/- divided into 10,000 equity shares of Rs. 100/- each while its issued, subscribed, and paid-up capital is Rs. 10,00,000/- divided into 10,000 equity shares of Rs. 100/- each.

4. Transferor Company 2 was incorporated under the Companies Act, 1956 on 07.10.2004 in the name and style of **"JETAIR BUSINESS SOLUTIONS PRIVATE LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the CIN. **U74140DL2004PTC349744.** Its authorized share capital is Rs. 1,00,00,000/- divided into 10,00,000 equity shares of Rs. 10/- each while its issued, subscribed, and paid-up capital is Rs. 1,00,00,000/- divided into 10,00,000 equity shares of Rs. 10/- each.

5. Transferor Company 3 was incorporated under the Companies Act, 1956 on 23.03.2018 in the name and style of **"JETMOBILITY PRIVATE LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the CIN. **U63030DL2018PTC380930.** Its authorized share capital is Rs. 4,50,00,000/- divided into 45,00,000 equity shares of Rs. 10/- each while its issued, subscribed, and paid-up capital is Rs. 3,40,00,000/- divided into 34,00,000 equity shares of Rs. 10/- each.

6. Transferee Company was incorporated under the Companies Act, 1956 on 19.07.1974 in the name and style of **"JETAIR PRIVATE LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the CIN. **U74899DL1974PTC007361.** Its authorized share capital is Rs. 5,00,00,000/- divided into 5,00,000 equity shares of Rs. 10/- each while its issued, subscribed, and paid-up capital is Rs. 2,80,80,000/- divided into 2,80,800 equity shares of Rs. 100/- each

7. Now with intent of aligning the businesses undertaken by the Transferor Companies and the Transferee Company as the Transferor Companies are wholly-owned subsidiaries of the

Transferee Company and in order to consolidate and simplify the group structure and effectively manage the Transferor Companies and Transferee Company as a single entity, it is proposed by way of this scheme to amalgamate Transferor Companies into and with the Transferee Company in accordance with the terms thereof. The amalgamation of the Transferor Companies with the Transferee Company would inter alia have the following benefits:

- The Merger will result in economies of scale, reduction in overheads including administrative, managerial and other expenditure, operational rationalization, organizational efficiency and optimal utilization of resources.
- The merger will result in a significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried out by both the Transferor and Transferee Companies.
- Consolidating and improving the internal control systems and procedures which will bring greater management and operational efficiency due to integration of various similar functions being carried out by the entities such as human resources, finance, legal, management etc.
- Simplification of group structure

8. In view of the aforesaid, the Board of Directors of the Transferor Companies and the Transferee Company have considered and proposed the amalgamation of the entire undertaking and business of

the Transferor Companies with the Transferee Company in order to benefit the stakeholders of all the three companies.

9. It is submitted that the Transferor Company 1 has 2 Equity Shareholders. The certificate of Auditor in respect of list of Equity Shareholders and their Consent Affidavit for the proposed Amalgamation has also been placed on record **(Annexure A-6, A-7 (colly))**. It has 2 unsecured creditors as on 06.09.2021 **(Amt. due to them as on 06.09.2021 is Rs. 12,550/)**. Out of 2 unsecured creditors 1 unsecured creditor, **95.1% in value (Due Amount Rs. 11,943/-)** has given their consent affidavit and has been placed on record **Annexure G, Additional Affidavits dated 07.09.2021.** Transferor Company 1 has NIL secured creditors **Annexure A-8.** The certificate of Auditor in respect of list of Secured as well as Unsecured Creditors and their Consent Affidavit for the proposed Amalgamation has also been placed on record. In respect of shareholder as well as Unsecured Creditors, prayer has been made for issuance of directions for dispensing the convening of the meeting of the shareholders.

10. It is submitted that the Transferor Company 2 has 2 Equity Shareholders. The certificate of Auditor in respect of list of Equity Shareholders and their Consent Affidavit for the proposed Amalgamation has also been placed on record **(Annexure A-15, A-16 (colly))**. It has 5 unsecured creditors as on 31.03.2021 **(Amt. due to them as on 31.03.2021 is Rs. 7,01,61,047/-)**. Out of 5 unsecured creditors 1 unsecured creditor, **99.2% in value (Due Amount Rs. 7,01,07,506/-)** has given their consent affidavit and has been placed on record

Annexure H Additional Affidavits dated 07.09.2021. Transferor Company 2 has NIL secured creditors **Annexure A17.** The certificate of Auditor in respect of list of Secured as well as Unsecured Creditors and their Consent Affidavit for the proposed Amalgamation has also been placed on record. In respect of shareholder as well as Unsecured Creditors, prayer has been made for issuance of directions for dispensing the convening of the meeting of the shareholders.

11. It is submitted that the Transferor Company 3 has 2 Equity Shareholders. The certificate of Auditor in respect of list of Equity Shareholders and their Consent Affidavit for the proposed Amalgamation has also been placed on record **(Annexure A-24, A-25 (colly))**. It has 310 unsecured creditors as on 27.08.2021 **(Amt. due to them as on 27.08.2021 is Rs. 20,43,40,458/-)**. Out of 310 unsecured creditors 2 unsecured creditors, **90.93% in value (Due Amount Rs. 18,58,23,001/-)** have given their consent affidavit and has been placed on record **Annexure I Additional Affidavits dated 07.09.2021.** Transferor Company 1 has NIL secured creditors **Annexure A Additional Affidavit dated 07.09.2021** has been placed on record**.** The certificate of Auditor in respect of list of Secured as well as Unsecured Creditors and their Consent Affidavit for the proposed Amalgamation has also been placed on record. In respect of shareholder as well as Unsecured Creditors, prayer has been made for issuance of directions for dispensing the convening of the meeting of the shareholders.

12. It is submitted that the Transferee Company has 7 Equity Shareholders. The certificate of Auditor in respect of list of Equity Shareholders and their Consent Affidavit for the proposed Amalgamation has also been placed on record **(Annexure A-33, A-34 (colly))**. It has 139 unsecured creditors as on 31.03.2021 **(Amt. due to them as on 31.03.2021 is Rs. 34,43,27,802/)**. Out of 139 unsecured creditors 12 unsecured creditors, **90.82% in value (Due Amount Rs. 31,27,43,729/-)** has given their consent affidavit and has been placed on record **Annexure J Additional Affidavits dated 07.09.2021.** Transferee Company has NIL secured creditors **Annexure B Additional affidavit dated 07.09.2021** has been placed on record. The certificate of Auditor in respect of list of Secured as well as Unsecured Creditors and their Consent Affidavit for the proposed Amalgamation has also been placed on record. In respect of shareholder as well as Unsecured Creditors, prayer has been made for issuance of directions for dispensing the convening of the meeting of the shareholders.

13. It is further submitted that the board of directors of all the applicant companies vide separate Board meetings, held on **18.06.2021** respectively have unanimously approved the proposed Scheme of Amalgamation and copies of such board resolutions passed there have been placed on record by the companies.

14. All the applicants have filed their respective Memoranda and Articles of Associations. The applicants have also filed their latest audited financial statements for the year ending 31.03.2020 and provisional Financial

statements as on 31.03.2021 and same has been placed on record **Annexure (A-3, A-4, A-12, A-13, A-22, A-23, A-30, A-31 (colly))**.

15. All the companies have submitted that no proceedings are pending under the provisions of the Companies Act against any of the applicant company. In this regard, a separate affidavit in accordance to Sec 230(2)(a) has been placed on record.

16. Further, it has been stated in the application that the Scheme is not prejudicial to the interests of the shareholders, and creditors of the applicant companies. The Scheme will be beneficial to all the applicant companies and their respective shareholders, and creditors.

17. As per the scheme of Amalgamation (Para 1.11 of the Scheme), **Effective Date of scheme of Amalgamation** means the date on which Scheme shall become effective pursuant to Clause 19 of this Scheme. **Appointed date** shall be 01.04.2021 or such other date as may be approved by NCLT or Other Competent Authority.

18. The certificates of statutory auditors of all the applicant companies confirming that the accounting treatment in the scheme is in compliance of and in conformity with Section 133 of the Companies Act, 2013 have been placed on record **Annexure A-38**.

19. Taking into consideration the application filed jointly by the Applicant Companies the following directions are issued

A. In relation to Transferor Company 1

i. With respect to Equity Shareholders:

Meeting of the 2 equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed merger.

ii. With respect to secured creditors:

As there is no secured creditor in the Transferor Company 1, the requirement of convening meeting of secured creditors does not arise.

iii. With respect to unsecured creditors:

Meeting of 2 unsecured creditors in the Transferor Company 1 is directed to be dispensed pursuant to the power under section 230(9) of the Companies Act, 2013 as 95.1 % written consent **(1 in number)** has been obtained by way of affidavits for the proposed merger and has been placed on record. **(Annexure G)**

B. In relation to Transferor Company 2

i. With respect to Equity Shareholders:

Meeting of the 2 equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed merger.

ii. With respect to secured creditors:

As there is no secured creditor in the Transferor Company 2, the requirement of convening meeting of secured creditors does not arise.

iii. With respect to unsecured creditors:

Meeting of 2 unsecured creditors in the Transferor Company 2 is directed to be dispensed pursuant to the power under section 230(9) of

the Companies Act, 2013 as 99.2% written consent (1 in number) has been obtained by way of affidavits for the proposed merger and has been placed on record **(Annexure H)**

C. In relation to Transferor Company 3

i. With respect to Equity Shareholders:

Meeting of the 2 equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed merger.

ii. With respect to secured creditors:

As there is no secured creditor in the Transferor Company 3, the requirement of convening meeting of secured creditors does not arise.

iii. With respect to unsecured creditors:

Meeting of 310 unsecured creditors in the Transferor Company 3 is directed to be dispensed pursuant to the power under section 230(9) of the Companies Act, 2013 as 90.93% written consent (2 in number) has been obtained by way of affidavits for the proposed merger and has been placed on record. **(Annexure I)**

D. In relation to Transferee Company

i. With respect to Equity Shareholders:

Meeting of the 7 equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed merger.

ii. **With respect to secured creditors:**

As there is no secured creditor in the Transferee Company, the requirement of convening meeting of secured creditors does not arise.

iii. **With respect to unsecured creditors:**

Meeting of 139 unsecured creditors in the Transferee Company is directed to be dispensed pursuant to the power under Section 230(9) of the Companies Act, 2013 as 90.82% written consent (12 in number) has been obtained by way of affidavits for the proposed merger and has been placed on record **(Annexure J)**

E. Accordingly, in terms of the above order, CA (CAA) 82 (ND) of 2021 is allowed.

Sd/- 17/1/22

(AVINASH K. SRIVASTAVA)

Member (T)

Sd/-

(ABNI RANJAN KUMAR SINHA)

Member (J)